

Economic liberalism



Two of the dominant economic thinkers of the 20th century were Friedrich Hayek (opposite) and John Maynard Keynes. They stood on opposite sides of an intellectual fault line: Hayek believed in the supremacy of the market, while Keynes argued that governments would need to step in when markets failed.

Hayek was a radical economic liberal – he equated markets with freedom itself. Interference with markets by the state was an attack on freedom, which would lead to increasing political control and to totalitarianism. Hayek also defended markets on the grounds that they were a better way of coordinating individuals than any kind of central planning. People make decisions in an environment of uncertainty and on the basis of localized knowledge, and their behaviour influences prices, so the prices that emerge in markets are a distillation of all this disparate information about local conditions. In this way

'spontaneous order' emerges. Hayek argued that a central planner could never collect and interpret all this information.